This is just one case. Overall, the war led to a serious blow to the railway infrastructure in India on the whole, and it goes without saying that it led to widespread dissatisfaction and public discontent.

Indian public opinion as represented in the Imperial Legislative Council unanimously urged repeated resolutions (moved in 1914, 1915, 1917 and 1918) for direct state management of the railways in India, appointing a committee to inquire into the desirability of adopting direct state management. This would have helped the governments of the day to take responsibility and gain larger control, but a policy needed to be in place.

THE RAILWAYS GETS ITS OWN BUDGET

In response to this demand, the government in November 1920 appointed the East India Railway Committee (1920–21), with Sir William Mitchell Acworth as the chairman. The task of the committee was to get into the whole question of railway policies, finances and administrative working. The committee consisted of ten members, and among them, three were Indians.

The agenda was to examine the relative advantages, financial and administrative, of a proper management for Indian Railways, given the special circumstances of the country. It could be directly managed by the state or through a company domiciled in England and with a board sitting in London, or a combination of both. Most people in the sharply divided committee ruled in favour of direct state management, ‘going by public sentiment’. The committee also recommended that the Finance Department of the Government of India cease to control the internal finances of the railways and that the railways have a separate budget of its own .

Although the committee report was released in London on 22 August 1921, the Government of India took three years to come to a final decision, and the Railway Budget was separated from the General Budget in 1924–25. The following is an excerpt from the committee report:

> We do not think that the Indian Railways can be modernized, improved, and enlarged, so as to give to India the service of which it is in crying need at the moment, nor that the railways can yield to the Indian public the financial return which they are entitled to, from so valuable a property, until the financial methods are radically reformed. And the essence of this reform is contained in two things: (1) The complete separation of the Railway Budget from the Union Budget, and its reconstruction in a form which frees a great commercial business from the trammels of a system which assumes that the concern goes